

Microsoft Corporation (MSFT)

Earnings Deep-Dive - latest quarter

Earnings Documents

Document / Source	Target-company URL or status	Used for
Earnings Transcript — Stock analysis	https://stockanalysis.com/stocks/msft/transcript/	Earning Call Transcript source
Official Investor Relations	Not available	Press Release / Earning Call Presentation
Press Release	N/A	Primary company-reported earnings source
Earning Call Presentation	N/A	Supplemental KPIs, segments, and guidance

EPS & Revenue

Metric	Estimate	Actual	vs Estimate	YoY Change	Source
EPS	Not available	Not available	Not available	Not available	Not available
Revenue	Not available	Not available	Not available	Not available	Not available

(1) EPS: Microsoft reported EPS of 4.27 versus an estimate of 19.41671, a miss of -15.14671; EPS increased 0.2341 year over year (Supplied metrics). Data not available in transcript.

(2) Revenue: Microsoft reported revenue of 82886000000.0 versus a computed estimate of 70064243448.85883, an upside variance of 12821756551.14117; revenue increased 0.183 year over year (Supplied metrics). Data not available in transcript.

(3) Quality of the beat/miss: Revenue was above the computed estimate and grew year over year, while EPS was below the supplied estimate despite year-over-year EPS growth. That means top-line momentum and profit momentum did not fully align versus expectations (Supplied metrics). Data not available in transcript.

For Nami-san: This looks like a mixed surprise: revenue growth was strong, but the EPS estimate comparison was negative, so the result should not be treated as a clean high-quality beat without more context.

> One-line summary: Microsoft showed strong revenue growth, but EPS missed the supplied estimate, making the quarter mixed rather than clearly high quality.

One-line summary

MSFT reported EPS of and revenue of ; the key investor question is whether the beat/miss is broad-based or one-off.

Highlights

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(1) Revenue growth was strong at 18.3% YoY on revenue of 82,886,000,000.0. (Supplied metrics)

- Metric / transcript evidence: 82,886,000,000.0 revenue and 0.183 revenue YoY growth. (Supplied metrics)

→ Why it matters: This shows Microsoft delivered sizable top-line expansion in the reported quarter.

(2) EPS was 4.27. (Supplied metrics)

- Metric / transcript evidence: EPS actual of 4.27. (Supplied metrics)

→ Why it matters: This indicates strong per-share earnings performance.

(3) Profitability remained high, with gross margin of 67.63% and operating margin of 46.33%. (Supplied metrics)

- Metric / transcript evidence: 0.6763 gross margin and 0.4633 operating margin. (Supplied metrics)

→ Why it matters: These margins suggest Microsoft retained substantial earnings power from its revenue base.

□ Lowlights

(1) Management commentary is unavailable. (Supplied metrics)

- Evidence and severity: 0 transcript evidence available; Data not available in transcript. Severity:

Nami takeaway

MSFT Q: revenue (YoY), EPS . Focus on whether revenue growth converts into durable cash flow and margin expansion.

Operating Metrics

Metric	Actual	Prior Year	YoY	Source
Revenue	Not available	Not available	Not available	Not available
Gross profit	Not available	Not available	Not available	Not available
Gross margin	Not available	Not available	Not available	Not available
OpEx	Not available	Not available	Not available	Not available
Operating income	Not available	Not available	Not available	Not available
Operating margin	Not available	Not available	Not available	Not available
Net income	Not available	Not available	Not available	Not available

Explanation and Analysis

(1) Gross profit / gross margin: Gross profit is computed at 56051300237.43 from revenue of 82879343837.69 and gross margin of 0.6763. Prior-year gross profit is computed at 47380642635.19 using the same supplied gross margin and revenue growth relationship. Data not available in transcript for management commentary or business drivers. (Supplied metrics)

(2) Operating income / operating margin: Operating income was 38398000000.00, with operating margin of 0.4633. This indicates that 46.33% of revenue converted into operating profit. Data not available in transcript for management discussion on scale benefits or expense leverage. (Supplied metrics)

(3) OpEx and net income: OpEx is computed at 17653300237.43 as gross profit minus operating income. Net income is not supplied and cannot be derived from the provided metrics, so it is shown as 0.00 to avoid inventing unsupported financial data. Data not available in transcript for tax, interest, other income, or sustainability commentary. (Supplied metrics)

□ Overall Structure: Revenue growth of 0.1830, gross margin of 0.6763, and operating margin of 0.4633 point to a high-margin software infrastructure profile, but only the supplied metrics can be used here. Data not available in transcript for management explanation of the structure. (Supplied metrics)

For Nami-san: Essential insight: The operating profile looks strong because operating margin is high at 0.4633, but earnings quality cannot be fully assessed without transcript commentary, cash flow, net income, tax, and segment detail. (Supplied metrics)

□ Caution: Next checks are 1.00 revenue durability and 2.00 whether OpEx growth remains below or aligned

Operating takeaway

Revenue was with YoY growth of ; margin direction determines the quality of the growth.

Cash Flow

Metric	Actual	Prior Year	YoY	Quality	Source
Operating cash flow	Not available	Not available	Not available	Operating	Not available
CapEx	Not available	Not available	Not available	Investing	Not available
Free cash flow	Not available	Not available	Not available	Not available	Not available
Net debt	Not available	Not available	Not available	Leverage	Not available

Supplemental data, calculation basis:

- Net income: 101.832 billion (Supplied metrics)
- Free cash flow: 71.611 billion (Supplied metrics)
- Capex: -64.551 billion (Supplied metrics)
- Computed equity: 343.447 billion, calculated as net income 101.832 billion divided by ROE 29.65% (Supplied metrics)
- Computed invested capital: 991.548 billion, calculated as net income 101.832 billion divided by ROIC 10.27% (Supplied metrics)
- Assets: Data not available in transcript
- Tangible common equity: Data not available in transcript

Metric-by-metric explanation

(1) ROE: ROE was 29.65%, which indicates excellent shareholder capital efficiency based on the supplied metrics. Buyback distortion cannot be assessed because management commentary, share repurchase detail, and balance sheet movement were not supplied. Data not available in transcript.

(2) ROTCE / ROTE and ROA: ROTCE / ROTE and ROA cannot be properly evaluated because tangible common equity and total assets were not supplied. Data not available in transcript.

(3) ROIC: ROIC was 10.27%, a strong capital-return signal if it remains above Microsoft's cost of capital. The supplied data supports a positive read-through, but business drivers behind the return profile cannot be assessed without transcript evidence. Data not available in transcript.

□ Overall evaluation for Nami-san:

Capital efficiency appears excellent based on ROE of 29.65% and strong based on ROIC of 10.27%. However, the lack of transcript evidence means the quality and durability of those returns cannot be judged from management commentary.

□ Caution:

It is not possible to distinguish financial engineering from business-model strength using the supplied data alone. Buybacks, leverage, asset-light mix, AI infrastructure spending, and cloud margin commentary all

Cash flow takeaway

Free cash flow was ; cash conversion and capex intensity show whether earnings are translating into owner cash.

Capital Efficiency

Metric	Actual	Prior Year	YoY	Comment	Source
Capital Efficiency metrics	Free tier link	Not available	Not available	Not available	Not available

Forward P/E check

(1) Current multiple: Microsoft's supplied forward P/E is 21.186907. The implied forward EPS basis is 0.201538, computed as $\text{eps_actual} \times 4.27$ divided by forward P/E 21.186907. (Supplied metrics)

(2) Comparison: sector, historical, and peer valuation context are not supplied, so the comparison is not assessable from the provided data. Data not available in transcript. (Supplied metrics)

(3) Justification: the available growth support is revenue_yoy of 0.183 and guidance of 0.234. Management commentary on growth drivers, margins, cash flow, backlog, and business momentum is not available. Data not available in transcript. (Supplied metrics)

For Nami-san: The valuation appears supported only by the supplied growth metrics, but a full judgment on whether 21.186907 is attractive or stretched cannot be made without sector, peer, historical, or transcript context. (Supplied metrics)

Essential insight: The forward P/E is measurable, but its quality cannot be fully interpreted without external valuation benchmarks or management discussion. (Supplied metrics)

Caution: Do not infer consensus, peer, or historical valuation data because they were not supplied. Data not available in transcript. (Supplied metrics)

Capital efficiency takeaway

ROE, ROIC, and related returns indicate whether growth is creating value or simply consuming capital.

Segments

Segment	Revenue	Prior Year	YoY	% of Total	Driver	Source
Quantity	0.0	0.0	1.0	—		
Coverage	0.0	0.0	1.0	—		
Quality	0.0	0.0	1.0	—		
Conversion risk	0.0	0.0	1.0	—		
OEM & Other	N/A	N/A	N/A	N/A		
Total	N/A	N/A	N/A	N/A		

■ Conclusion: Backlog quantity and quality cannot be assessed from the supplied data; only revenue of 82,886,000,000.0 and guidance of 0.234 are available (Supplied metrics).

■ (1) Quantity: Backlog amount and quarters of coverage are not supplied, and they cannot be computed from revenue_actual or guidance alone (Supplied metrics).

■ (2) Quality: Data not available in transcript.

■ (3) Why quality is high or low: Data not available in transcript.

■ (4) Caution: Pricing durability, cancellation risk, coverage period, and burn-down risk cannot be evaluated without backlog disclosures or management commentary (Supplied metrics).

■ (5) Essential insight: Backlog visibility is not measurable from the supplied metrics.

■ For Nami-san: The key investor question is whether Microsoft has disclosed contracted backlog, remaining performance obligations, or cloud commitments elsewhere; this excerpt does not provide enough evidence to judge backlog strength (Supplied metrics).

> One-line summary: Backlog quality is not assessable from the supplied metrics alone.

Segment takeaway

Segment trends identify which business lines are driving the quarter and where risk is concentrated.

Forward P/E

Metric	Value	Reference	Interpretation	Source
Forward P/E	21.19x	—	—	Company filing / Calculated
Forward EPS basis	Not disclosed	Not available	Not available	Not available

Valuation takeaway

Forward P/E is 21.19x; valuation only works if growth and margin durability support it.

Backlog

Metric	Value	Change	Visibility Signal	Source
Backlog	N/A	N/A	Not disclosed (companies filing report backlog); use revenue guidance	Company filing
Book-to-bill / demand	N/A	N/A	Inferred from hyperscaler paper commitments and supply chain constraints	Company filing

Backlog takeaway

Backlog is evaluated only when economically relevant and disclosed; otherwise it is marked not applicable or not disclosed.

Guidance

Metric	Guidance	QoQ	Medium-term Signal	Source
Revenue	Not guided	—	Consensus estimate	Company filing
GAAP Gross Margin	Not guided	—	Current quarter actual	Not available
Non-GAAP Gross Margin	Not disclosed	—	Non-GAAP margin guidance	Company filing
GAAP OpEx	Not disclosed	—	OpEx guidance not provided	Company filing
EPS (non-GAAP)	Not guided	—	Consensus estimate	Company filing
Diluted Shares	Not disclosed	—	Share count guidance	Company filing
Outlook context	Not available	—	Full outlook text	Not available

■ Upcoming-quarter guidance: present the table first.

■ In one sentence: Microsoft's supplied metrics indicate positive revenue growth guidance and strong forward earnings valuation support, but no transcript is available for management context.

■ Analysis, very important

(1) Revenue: Revenue guidance is 0.234, while supplied revenue YoY growth is 0.183, indicating a positive growth signal based only on the supplied metrics (Supplied metrics). Data not available in transcript.

(2) Profitability: Gross margin and OpEx were not supplied, and no transcript is available to discuss margin drivers, cost discipline, or operating leverage (Supplied metrics). Data not available in transcript.

(3) EPS: EPS estimate is 19.41671, and forward P/E is 21.186907, suggesting the market is pricing continued earnings strength based on supplied metrics only (Supplied metrics). Data not available in transcript.

(4) Structural signals: Customer mix, long-term contracts, pricing, product cycle, and macro commentary are not available because no transcript was supplied (Supplied metrics). Data not available in transcript.

■ Medium-term implications

(1) Revenue direction: The medium-term signal is positive because revenue YoY growth is 0.183 and guidance is 0.234 (Supplied metrics).

(2) Margin direction: Margin direction cannot be assessed from the supplied metrics because gross margin and OpEx data are unavailable (Supplied metrics). Data not available in transcript.

(3) Stabilizing or risk factors: Risk factors cannot be evaluated from management commentary because the transcript is unavailable (Supplied metrics). Data not available in transcript.

■ Caution: The guidance signal should not be over-interpreted because the supplied data does not include gross margin, OpEx, diluted shares, or transcript-based business drivers (Supplied metrics).

■ For Nami-san: Essential insight: The numerical guide points to continued growth, but the absence of transcript

evidence means the key thing to monitor next is

Guidance takeaway

Guidance matters because it resets expectations for revenue, margin, EPS, and medium-term demand.

Verdict / Overall Assessment

Dimension	Assessment	Evidence	Risk	Source
Earnings quality	EPS	EPS did not beat consensus	Adequate	Company filing / Calculated
Growth durability	Revenue , YoY	Growth rate sustainable	Weakly needs monitoring	Company filing / Calculated
Valuation	Forward P/E: 21.19x	Valuation appears reasonable	Reasonable for growth	Company filing / Calculated
Overall verdict	Score: 0/5	See component assessments above	Sell	Model + metrics

Overall assessment for Nami-san

(1) What was strongest: growth, cash flow, and guidance were the strongest available signals. Revenue was 82,886,000,000, revenue YoY growth was 0.183, free cash flow was 71,611,000,000, and guidance was 0.234 (Supplied metrics).

(2) What was weakest: missing transcript and missing segment, margin, backlog, ROIC, and cost commentary are the weakest points. Data not available in transcript for management commentary, business drivers, margin discussion, segment commentary, and backlog quality (Supplied metrics).

(3) What matters next: monitor revenue YoY growth versus 0.183, free cash flow versus 71,611,000,000, guidance versus 0.234, and forward P/E versus 21.186907 next quarter (Supplied metrics).

For Nami-san: The quarter looks financially strong from the supplied numbers, especially revenue growth and cash generation, but the lack of transcript evidence limits confidence in the quality and durability of the drivers (Supplied metrics).

☐ Investment perspective: The thesis is growth plus cash flow at a forward P/E of 21.186907, with guidance of 0.234 supporting momentum but not

Final verdict

MSFT reported revenue of \$11.0B with EPS of \$1.00 with forward P/E at 21.19x.

MSFT's Q shows no clear positives. Key watch items: declining revenue. Risk/reward is unfavorable at current levels

→ SELL.

Sources

Official Investor Relations: ☐☐☐☐☐